Consequential Economic Loss

An introductory guide to negligence in England and Wales. Financial loss following personal injury or property damage, distinguished from pure economic loss.

1. The kind of loss matters

Consequential economic loss is financial loss resulting from actionable personal injury to the claimant or damage to property in which the claimant has the relevant legal interest. Examples include earnings lost because an injury prevents work, or profits lost because the claimant's damaged machine cannot operate. [1, 2]

Pure economic loss is financial loss that is not consequential on such injury or damage. A business can lose income because someone damages a third party's property, even though its own premises and goods remain unharmed. The financial loss may be real and foreseeable without being recoverable under the ordinary negligence rule.

> **Do not confuse money with pure loss:** Damages for a broken machine are paid in money, but the claim compensates physical property damage. The profit lost because that machine is broken is a separate, potentially recoverable financial consequence.

2. The exclusion is a general rule, not an absolute ban

Pure economic loss is generally not recoverable in negligence. Recognised exceptions exist, including certain negligent-statement or service cases involving an assumption of responsibility. Hedley Byrne & Co Ltd v Heller & Partners Ltd [1964] AC 465 is a leading authority. Do not write that pure economic loss can never be recovered in tort. [2, 3]

3. Two invented examples

Personal injury: A negligent driver breaks Hana's leg. She cannot work for several weeks and loses earnings. Assuming liability for the injury, the proven earnings loss caused by that inability to work can be claimed as a financial consequence, subject to the usual limits.

Property damage: A delivery driver owns a van damaged by negligence. While reasonable repairs are carried out, the driver loses work that cannot reasonably be rearranged. Those losses may follow from damage to the van. This differs from a delivery business that loses work solely because someone else's bridge is closed after damage.

A psychiatric illness, where independently actionable, can also cause earnings loss. Calling lost earnings "consequential" does not bypass the special requirements for establishing liability for that illness.

Spartan Steel: three losses

4. Spartan Steel & Alloys Ltd v Martin & Co (Contractors) Ltd

Case: [1972] EWCA Civ 3; [1973] QB 27. Contractors negligently damaged an electricity cable with an excavating shovel during roadworks. The cable belonged to the electricity supplier, not Spartan Steel. The factory lost its power supply for about fourteen and a half hours. This was excavation damage, not simply a vehicle driving over a cable. [1]

A melt of metal was already in the factory's furnace. To prevent it solidifying and damaging the furnace, the workers used oxygen and poured it out early. The metal was worth less as a result. The interruption also prevented further production. The court had to classify each loss separately.

5. The three heads of loss

£368: damage to the existing melt. Recoverable. This was physical damage to the claimant's property, assessed by the reduction in the metal's value. It was not itself consequential economic loss merely because its value was expressed in money.

£400: lost profit on that damaged melt. Recoverable. This profit was connected to physical damage to the existing melt. It was consequential economic loss.

£1,767: profit on four further melts not produced. Not recoverable. This loss resulted from the lack of electricity, independently of the damage to the existing metal. The unrealised further production was pure economic loss. [1]

> **Outcome:** The contractors' appeal succeeded in part. By a majority of two to one, the Court of Appeal allowed £368 + £400 = **£768**, but rejected the additional £1,767. Spartan recovered the first two heads, not all losses from the power cut.

6. One event can produce different legal categories

All three losses arose in the same disruption. That did not make them all consequential on the damaged metal. Nor could the successful property-damage claim simply carry the unrelated lost-production profits with it. The causal relationship between each financial loss and the damaged property was decisive.

Judgment was delivered in 1972. [1973] QB 27 is the law-report citation. The further melts were production lost during the outage, not a separate claim for indefinite future profits.

Applying the distinction

7. Ordinary negligence requirements remain

A claimant must establish a duty of care, breach, actionable damage and causation. Recovery can also be limited by the scope of the duty, remoteness and avoidable loss. Consequential economic loss is a category of recoverable loss in an appropriate case, not an independent shortcut to liability. [2]

Causation: Did the injury or property damage actually cause this earnings or profit loss? **Remoteness:** Is the loss of a legally recoverable kind? **Mitigation:** Could reasonable steps have reduced the loss? These are distinct questions.

8. Whose injury or property?

Damage somewhere in the chain of events is not enough. In Spartan Steel, the supplier's damaged cable did not turn all of the factory's lost production into consequential loss. The factory's own damaged melt supported its property claim and the profit attached to that melt.

Ownership is not the only possible interest: a person with a legally protected possessory interest may also claim. In Armstead v Royal & Sun Alliance Insurance Co Ltd [2024] UKSC 6, a hirer's contractual liability following damage to a hire car was not automatically pure economic loss; her appeal succeeded. That does not make every payment agreed in every contract recoverable. [2]

9. Prove the amount without counting it twice

Use wage records, accounts, repair evidence and evidence of the period reasonably needed to return to work or resume production. Lost turnover is not automatically lost profit: costs saved because the work was not performed must be considered.

Invented calculation: Assume cancelled work would have earned £5,000 in revenue, but £2,000 of costs were avoided. On those simplified facts, the lost profit is £3,000, not £5,000. Other losses or adjustments require their own evidence. Avoid counting the same lost income twice under different labels.

> **Working method:** Identify each head of loss → locate the claimant's actionable injury or property damage → explain how this financial loss follows from it → check the legal limits → prove the amount.

The word "consequential" is used here to classify economic loss in negligence. Its meaning in a contractual exclusion clause can raise a different interpretive question.

Check your understanding

1. Is every loss of profit pure economic loss?
Answer: No. Profit lost because of the claimant's actionable injury or property damage can be consequential economic loss.

2. How was the £368 in Spartan Steel classified?
Answer: As physical property damage to the melt itself, not consequential economic loss.

3. Why was the £400 recoverable?
Answer: It was the profit lost on the particular damaged melt and was consequential on that property damage.

4. Why was the £1,767 rejected?
Answer: It concerned four further melts not produced because electricity was unavailable. It was independent of the physical damage to the existing melt.

5. Does foreseeable loss automatically create a duty to compensate it?
Answer: No. Classification, the relevant duty and the remaining legal limits still matter.

6. Can pure economic loss never be recovered in negligence?
Answer: That is too absolute. There are recognised exceptions, including certain assumption-of-responsibility cases.

7. Invented example: a claimant's damaged van leads to £5,000 lost revenue and £2,000 saved costs. Is the profit claim £5,000?
Answer: Not on those simplified assumptions. The profit lost is £3,000, subject to proof and the other rules.

The central distinction

Physical damage: the existing melt lost value. **Consequential economic loss:** profit lost on that damaged melt. **Pure economic loss:** profit lost on further melts because production could not take place.

Sources and further reading

[1] *Spartan Steel & Alloys Ltd v Martin & Co (Contractors) Ltd* [1972] EWCA Civ 3; [1973] QB 27. Majority: Lord Denning MR and Lawton LJ; Edmund Davies LJ dissented. Judgment.

[2] *Armstead v Royal & Sun Alliance Insurance Co Ltd* [2024] UKSC 6, especially paras 19-25 on the general principles and the judgment's analysis of consequential loss and remoteness. Supreme Court judgment.

[3] *Hedley Byrne & Co Ltd v Heller & Partners Ltd* [1964] AC 465: assumption of responsibility for statements and the significance of a disclaimer. Recognition of an exception does not mean every inaccurate statement creates liability.